

pated this mindset and argued against it, forecasting a bullish outlook for those years, as these excerpts from three Special Reports of the time reveal:

May/August 1983: This report will respond to various arguments that have resulted in the widespread belief that 1984 will mark a peak preceding at least two years of decline. The main arguments for a 1984 top are that "the Kondratieff [cycle] is 54 years long, and 54 years from 1929 is 1983," and "the 4-year cycle is due to top in 1984." However, a third wave extension is under way in the broad indexes. While the year 1984 may produce an important intermediate term correction,...the earliest [the market] should peak is 1987. By the time [the correction] is near completion, many analysts will be calling for a two-year bear market or a Kondratieff crash, and economic fundamentals should start looking scary again. I think it would be a perfect fooler. By the time most investors are convinced that a bear phase has begun (either a normal "4-year" bear phase or the Kondratieff supercrash), the market will be taking all that programmed selling in the first quarter of 1985. Then, as Wall Street institutions complete their selling programs, the market will take off again and leave them all behind.

April 3, 1984: As I argued almost a year ago, most investors appear to be tuned to the "Election Year Cycle," so most of them will probably be fully sold out by early 1985 in anticipation of two down years. However, the wave structure and cycle work indicate a *strong* 1985, fitting what is currently a very contrary opinion.

January 1985: As expected, the most popular opinion on Wall Street at the current time is that the "4-year cycle" is topping and that 1985, particularly since it is a post-election year, will end on the downside. Also on schedule are the recently renewed calls that 1985 will usher in a 1929-style crash because the Kondratieff [cycle] has peaked. The supercrash fears are showing up on schedule. Second waves in a five-wave sequence are times when it is fashionable to be bearish.

1985 and 1986, of course, turned out to be years of explosive advance. At the time, the Decennial Pattern was the only cyclic pattern that was bullish. Since it was mostly ignored, it turned out to be the most useful.

Today presents the flip side of that picture. Analysts following these cyclical influences are *bullish* for the entire **1995-1996** period, for at least six cyclic and statistical reasons. The 4-year cycle